

The Spock Market

I KNOW MR. MARKET'S real name:

Mr. Spock.

A short explanation for the non-Trekkie reader: Spock is the science officer and second in command aboard the starship USS *Enterprise*.³⁴⁰ He was born to a human mother and a Vulcan father.³⁴¹ The Star Trek Universe portrays humans as emotional, unpredictable, and irrational (in other words, accurately). Vulcans are an ancient civilization whose history of violence and emotion brought them to the brink of self-destruction, which was avoided only when the entire species embraced a radical control of their emotions.

Raised on planet Vulcan, Spock fully embraces the Vulcan philosophy of logic.³⁴² But since he is half human, he struggles to balance logic and emotion. Once you accept that Mr. Market *is* Mr. Spock, the raging confusion about markets, the economy, even equity prices, disappears.

Consider the following.

Investors are rational

Much of the time, markets are understandable and make intuitive sense to investors. Profits rise, so too do stocks. The economy tanks and stocks roll over. There are long trending periods when stocks meander upwards, reflecting positive developments in technology, taxes, inflation, etc. This is the Vulcan logic of equities, a reflection of investors' collective rationality.

Investors are irrational

At extremes, traders seem to lose their minds. They indulge their emotional halves. It is especially obvious at turning points: Recall the March 2000 dotcom highs, when start-ups went public at 100 times revenues. Or the